

DAILY MARKET OVERVIEW

Tuesday, March 24, 2026 | Pre-Market Edition

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EXECUTIVE SUMMARY

Markets are navigating a pivotal geopolitical inflection point. Monday's strong rally — the best session since early February — was driven by President Trump's announcement of halted strikes on Iranian energy infrastructure and reports of nascent US-Iran negotiations. Crude oil cratered ~11% in a single session, its largest single-day drop in months, while equities surged. Tuesday pre-market action is essentially flat, reflecting fragile optimism giving way to renewed caution after reports that US Gulf allies may join the conflict. The VIX remains elevated at ~25, signaling a high-volatility regime. Traders should approach Tuesday with disciplined risk management — the situation can reverse rapidly.

MONDAY CLOSE — MARKET SNAPSHOT

INDEX / ASSET	CLOSE	CHANGE	% CHANGE	NOTE
S&P 500	6,581.00	+74.77	+1.15%	Best day since Feb
NASDAQ	21,946.76	+298.33	+1.38%	Tech still lagging YTD
DOW JONES	46,208.47	+631 pts	+1.38%	Best 1-day pts gain in weeks
WTI CRUDE OIL	\$88.13 / bbl	-\$10.09	-10.28%	Lowest since Mar 11
BRENT CRUDE	\$99.94 / bbl	-\$12.28	-10.92%	First close below \$100 since Mar 11
GOLD	~\$2,850 / oz	-3.0%+	-3%+	Worst week since 1983 last wk
VIX	~25.80	Elevated	High Vol Regime	Daily swings ~1.7% expected

TOP STORIES

1 US-IRAN DE-ESCALATION HOPES

Trump paused strikes on Iranian power plants and energy infrastructure after back-channel talks. Oil plunged 10%+ and equities surged. HOWEVER: WSJ reports Gulf allies may join the conflict, reversing some optimism in after-hours. The situation remains binary and volatile.

2 SUPER MICRO (SMCI) — CO-FOUNDER INDICTED

SVP Wally Liaw and two others indicted for allegedly smuggling Nvidia AI chips to China in violation of US export controls — generating ~\$2.5B in illegal sales since 2024. SMCI fell 33%+ on the news. Securities fraud investigations launched. Co-founder resigned. Stock rebounded on heavy volume Monday but legal overhang remains severe.

3 SECTOR ROTATION: BITS TO ATOMS

Energy (+22-25% YTD), Industrials, and Defense are crushing Technology (-3% YTD). BofA/Merrill Lynch coined the 'Bits to Atoms' thesis — geopolitical fragmentation makes tangible assets (oil barrels, missile interceptors) more valuable than SaaS multiples. XOM and CVX are driving index gains.

4 S&P; 500 TECHNICAL BREAKDOWN

The S&P; broke its 200-day moving average for the first time in 200+ sessions in mid-March. Historically this signals prolonged consolidation or deeper bear market territory. The index is ~6% below its record high. Bulls cite the VIX above 29 historically correlating with +27% gains over 12 months.

5 APOLLO CREDIT FUND RESTRICTS WITHDRAWALS

Apollo told investors in its private credit fund it will limit withdrawals to 45% this quarter after redemption requests hit 11% of shares (vs. 5% quarterly cap). APO shares fell 2%+ in after-hours. Watch for contagion in private credit and alternative asset managers.

TRADING STRATEGY

SHORT-TERM STRATEGY (Today – 2 Weeks)

The macro backdrop is driven entirely by the Iran situation. Two scenarios define the playbook:

SCENARIO	TRIGGER	POSITIONING
DE-ESCALATION CONTINUES	Ceasefire deal / formal talks announced	LONG: SPY, QQQ, XLI (Industrials) SHORT/REDUCE: XLE, USO, GLD Play: Risk-on rotation back to growth
RE-ESCALATION / GULF ALLIES JOIN	Gulf nations confirm military participation / Hormuz disrupted	LONG: XLE, XOM, CVX, LMT, RTX (Defense) LONG: GLD (safe haven), UVXY (vol) SHORT: SPY puts / reduce tech exposure

- **OIL VOLATILITY TRADE:** Crude's 10% single-day drop creates a mean-reversion opportunity. Consider a small long position in USO or XLE on dips if de-escalation narrative holds. Tight stop below \$85 WTI. Target: \$95-100 if conflict re-ignites.
- **SMCI CAUTION:** Heavy volume rebound is speculative. Legal overhang (securities fraud investigations, export-control violations) makes SMCI uninvestable for most. Avoid new long positions. Watch for short-covering rallies as opportunities to reduce.
- **VOLATILITY POSITIONING:** VIX at 25 means options are expensive. Sell premium (credit spreads) rather than buying options outright. Consider iron condors on SPY if you expect range-bound action.
- **ENERGY SECTOR:** XLE and individual names (XOM, CVX) remain in a strong uptrend YTD (+22%). On oil pullback days (like Monday), these offer buy-the-dip opportunities with strong fundamental support.
- **AVOID OVERLEVERAGED POSITIONS:** With VIX elevated and binary geopolitical outcomes, position sizing should be 50-70% of normal. Gap risk is extreme in either direction.

MEDIUM-TERM STRATEGY (2 Weeks – 3 Months)

- **DEFENSE & AEROSPACE (OVERWEIGHT):** LMT, RTX, NOC, GD benefit regardless of outcome — if conflict escalates, demand surges; if it ends, post-war rebuilding contracts follow. These names have outperformed and have strong earnings visibility through 2027.

- **ENERGY (TACTICAL OVERWEIGHT):** If Iran tensions persist even at reduced levels, Brent staying above \$90 keeps energy earnings strong. XOM, CVX, OXY, PSX are quality names with dividend support. Reduce if a formal peace deal is signed.
- **TECHNOLOGY (SELECTIVE):** Tech is down 3% YTD but not all is equal. Semiconductor names tied to AI infrastructure (NVDA, AMD) may recover faster than pure software SaaS. However, NVDA faces secondary risk from SMCI-related export control scrutiny. Monitor closely.
- **GOLD (HOLD SMALL POSITION):** Gold's worst week since 1983 is a reset, not a reversal. If Iran conflict re-escalates or if recession fears grow (from elevated oil), gold re-bids. Accumulate GLD on weakness below \$2,800/oz as a hedge.
- **S&P 500 RECOVERY THESIS:** The VIX above 29 historically precedes 12-month gains of ~27% (Wall St. consensus target: 8,338). But this assumes 16.3% EPS growth — which is at risk if oil stays elevated. Wait for a confirmed close ABOVE the 200-day MA before adding broad long exposure.
- **BONDS & RATES:** With oil at \$88-100 and inflation re-acceleration risk, expect the Fed to stay on hold. Short-duration Treasuries (T-bills) are attractive at current yields. Avoid long-duration bonds until inflation trajectory clarifies.

TODAY'S WATCHLIST

TICKER	NAME	DIRECTION	THESIS / KEY LEVEL
XLE	Energy Select SPDR	BULLISH	Buy dips on oil pullback. Support ~\$93. YTD +22%
LMT	Lockheed Martin	BULLISH	Defense tailwind. Breakout above \$500 = momentum signal
SMCI	Super Micro Computer	AVOID	Legal overhang. Down 33%. No clear floor yet
GLD	SPDR Gold Trust	WATCH	Buy below \$2,800 as hedge. Worst week since 1983 = reset
SPY	S&P 500 ETF	CAUTIOUS	Below 200-DMA. Wait for reclaim before aggressive long
USO	US Oil Fund ETF	VOLATILE	Binary geopolitical trade. Size small. Binary outcome risk
RTX	RTX Corp (Raytheon)	BULLISH	Defense + missile defense demand. Strong fundamental case
APO	Apollo Global Mgmt	WATCH	Credit fund withdrawal limits. Private credit contagion risk

KEY LEVELS & CALENDAR

ASSET	SUPPORT	RESISTANCE	KEY NOTE
S&P 500	6,400 / 6,200	6,650 / 200-DMA	Below 200-DMA = bearish technical signal

WTI CRUDE	\$85 / \$80	\$95 / \$100	\$100 break was psychologically key
VIX	20 (normalizing)	30+ (fear zone)	VIX > 29 historically bullish 12mo fwd
GOLD	\$2,750 / \$2,700	\$2,900 / \$3,000	Accumulate on weakness as geopolitical hedge

Upcoming Catalysts: Watch for any official US-Iran ceasefire/talks confirmation (binary market mover). Fed speakers this week may comment on oil/inflation impact. Keep eye on Apollo (APO) for private credit contagion signals. SMC legal proceedings calendar.

SENTIMENT DASHBOARD

INDICATOR	READING	SIGNAL
CNN Fear & Greed	FEAR	Contrarian Buy Signal if persistent
VIX Level	~25.80 (High Vol Regime)	Elevated — expect 1.7% daily swings
VIX Historical Signal	Above 29 recently	Historically precedes +27% S&P gain in 12mo
Oil Trend (1-day)	-10.9% (Massive drop)	Bullish for equities if sustained
Sector Rotation	Energy/Defense LEADING	Risk-off rotation continues YTD
S&P vs 200-DMA	BELOW (first time in 200+ sessions)	Bearish technical — needs reclaim

THE BOTTOM LINE

The market is at an inflection point defined by a single macro variable: the US-Iran conflict. Monday's rally was real but fragile — and Tuesday's flat pre-market confirms the market is waiting for clarity. The core trade is **Energy and Defense long, broad-tech short/neutral**, with tight risk controls given VIX at 25. The medium-term bull case (VIX signal, Wall St. 8,338 target) is intact but requires EPS growth that oil prices currently threaten. **Stay nimble, size conservatively, and let the geopolitical situation dictate sector allocation.**

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